

FRVO

FRVO N/A

Hold	\$23.78 ▼ 14.72%	12M Price Target \$32.00	52-Week Range \$23.10 – \$42.65	Market Cap \$7.01B
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FRVO: Geothermal Darling Cracks 52-Week Low on AI Cooling

WHAT HAPPENED

- FRVO just tanked 14.7% to a fresh 52-week low on lighter volume than the selloff days before — that's actually a bad sign. It means holders are capitulating and buyers aren't stepping in even at the lows. The stock is now at 3% of its 52-week range, meaning it's trading near the absolute bottom of where it's traded all year.
- No fresh news catalyst overnight and no SEC filings — so this is technical/sentiment-driven. My read: the Barron's piece pushing OpenAI/Anthropic to IPO "while the iron is hot" signals that private AI capital is looking for the exit, which pressures publicly-traded AI-adjacent names like FRVO (geothermal power for data centers) as investors rotate.

WHY IT MATTERS

This looks like an AI-adjacent unwind, not a company-specific blowup — FRVO's Nvidia/PNNL partnership from June and the on-track Utah geothermal ramp (33 MW coming online) are both bullish datapoints that the market is ignoring. When a stock ignores good news and drops on no news, it usually means positioning was too crowded and momentum funds are puking. The bigger picture: FRVO is a 2028-2030 story (Cape Station scales to 400 MW) being priced daily like a tech stock, so any wobble in the AI-power narrative gets amplified 3x here. Watch for a washout bottom in the low \$20s where long-term energy transition money (not momentum money) starts accumulating.

POLICY & POLITICAL WATCH

The critical policy variable for FRVO is the Inflation Reduction Act's geothermal tax credits (Section 45Y and 48E production/investment tax credits) — these are worth billions to Fervo's project economics, and any Republican reconciliation effort to claw them back is an existential threat. So far geothermal has been the "bipartisan darling" of clean energy (red states like Utah and Nevada love it because it's baseload power and creates drilling jobs), which is why it's survived the broader IRA rollback debates. Also watch the FERC transmission rule (Order 1920) and DOE loan guarantees — Fervo has been a beneficiary of both, and any slowdown in federal permitting for geothermal wells would push their timeline right.

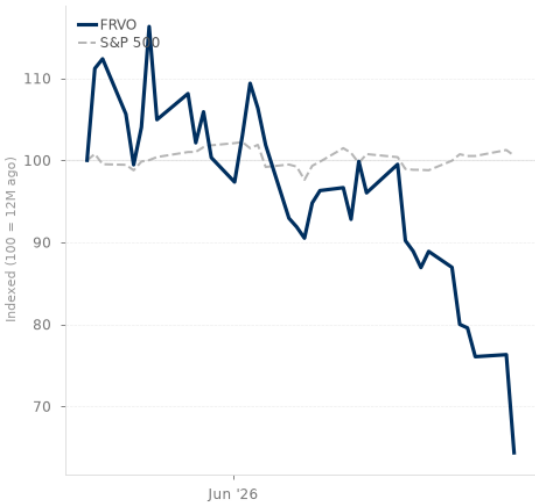
IS IT EXPENSIVE?

Key Data	
Price (USD)	\$23.78
12M Price Target	\$32.00
Upside / (Downside)	+34.6%
Market Cap	\$7.01B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$28.00	\$25.00	\$20.00
6 Months	\$38.00	\$30.00	\$18.00
1 Year	\$48.00	\$32.00	\$15.00
2 Years	\$65.00	\$42.00	\$12.00
5 Years	\$120.00	\$70.00	\$10.00
10 Years	\$250.00	\$130.00	\$8.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Traditional Energy (+2.04%) and Utilities (+1.79%) — money is rotating to boring, cash-flowing power names as the "AI needs electrons" trade matures. Investors want the picks and shovels, not the story stocks.

COOLING OFF: Speculative AI-adjacent names and pre-revenue clean tech — the market is separating "AI winners with real earnings" from "AI winners in the future" and FRVO is stuck in the second bucket.

ROTATION WATCH: Capital is moving from AI hopefuls into profitable nuclear (VST, CEG) and natural gas plays — same thesis (power the AI boom), better balance sheets. That's directly bleeding FRVO.

RELATED PLAY: If you like the geothermal thesis but want less binary risk, Ormat (ORA) is the profitable incumbent — boring, but it actually makes money doing what Fervo promises to do at scale.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet powering data centers — profitable, and the market is paying up for proven megawatts vs. promised ones
- CEG (Constellation Energy): The Microsoft Three Mile Island deal set the template — utilities with existing nuclear are the safest AI-power play

FRVO CONTEXT: FRVO is badly lagging its "AI power" peer group — Vistra and Constellation are near highs while FRVO hits lows. This tells you the market is done paying premium multiples for promises; it wants delivered megawatts. FRVO needs a concrete PPA announcement to rejoin the party.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I like the long-term geothermal-for-AI thesis but the chart is broken and there's no reason to be a hero catching this knife today.

POSITION SIZE: 1-2% max — this is a speculative, pre-profit name with real technology risk. Size it like a venture bet, not a core holding.

ENTRY POINTS: I'd rather buy \$20-22 on a full capitulation flush, or wait for the stock to reclaim \$27 with volume (proves buyers are back). Buying today at \$23.78 is just guessing.

TIME HORIZON: 18-36 months — you're waiting for Cape Station 400 MW milestones and hyperscaler contract announcements. This isn't a trade, it's a project financing bet.

WHEN TO BAIL: Utah project delays announced, dilutive equity raise below \$25, or IRA geothermal credits get repealed in a budget deal — any of those, I'm gone.

HEDGING: Own a profitable power name like VST or CEG alongside — if the AI-power trade works, you win on both; if FRVO stumbles specifically, the winners cushion the blow.